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IDEA

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LS Electric | Asia Pacific

3Q26 Earnings – Order Momentum Continues to Accelerate; Q&A Summary

Record earnings, continued US customer additions, and faster capacity expansion reinforce the growth outlook into 2027-28. Order intake moderated from an unusually strong 2Q, but rising switchgear backlog alongside accelerating deliveries provides a more encouraging signal.

Key Takeaways

- Management said US tariff refunds and charges related to restructuring in China broadly offset each other.
- Thus, consolidated profitability was close to the underlying level.
- New orders were W1.59tr and backlog W7.04tr. Data centers represented more than 50% of YTD orders. A new US Big Tech customer began placing orders in 3Q.
- Capacity expansion continues across Utah, Cheongju, and LSPS to support sustained hyperscaler demand while maintaining lead times of <12 months.

3Q26 OP beat: LSE posted revenue of W1.88tr and operating profits of W234bn (with 12.5% OPM) – 10% and 17% above the latest Bloomberg consensus estimates, respectively.

The investment case is moving from order wins to demonstrated execution: The key discussions on the stock has been around 1) stronger order guidance, 2) increasing data center exposure, and 3) the capacity needed to support growth. Another historical high in quarterly revenue and OP came as confirmation that results are achieving goals. In 3Q, switchgear revenue increased 29% sequentially, to W542bn, while its backlog still rose 12%, to W2.25tr. That combination supports the view that LSE is both delivering existing projects and replenishing its pipeline, rather than simply drawing down earlier wins.

Earnings visibility is extending: We remain constructive on LSE – 3Q26 results reinforced our conviction that the structural growth story remains intact. Stronger-than-expected US data center demand drove another increase in order guidance, while management also indicated upside to its full-year 2026 revenue and margin outlook. With data center exposure continuing to rise, new semiconductor customer wins emerging, and capacity expansion underway across Utah, Cheongju, and LSPS, we believe the company remains well positioned to generate sustainable earnings growth into 2027.

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LS Electric (010120.KS, 010120 KS)

S. Korea Technology | S. Korea

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	W270,000
Up/downside to price target (%)	63
Shr price, close (Oct 21, 2026)	W166,100
52-Week Range	W335,000-61,400
Sh out, dil, curr (mn)	150
Mkt cap, curr (bn)	W24,915
EV, curr (bn)	W24,853
Avg daily trading value (bn)	W238

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	1,913	3,570	4,909	6,848
Prior EPS (W)**	-	3,698	4,908	6,553
EPS (W)§	9,399	3,604	5,144	6,928
Revenue, net (W bn)	4,966	6,740	8,085	9,771
EBITDA (W bn)	553	891	1,144	1,503
ModelWare net inc (W bn)	287	536	736	1,027
P/E	48.1	46.5	33.8	24.3
P/BV	6.5	10.7	9.1	7.6
RNOA (%)	15.9	25.9	23.0	27.5
ROE (%)	14.8	25.2	31.8	37.5
EV/EBITDA	24.8	28.8	22.5	17.1
Div yld (%)	0.6	1.6	1.2	1.8
FCF yld ratio (%)**	(0.8)	(1.2)	1.2	2.1
Leverage (EOP) (%)	3.9	41.6	35.4	27.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Management Comments

1. Orders remain strong; quarterly timing explains the sequential moderation

New orders of W1.59tr brought nine-month intake to approximately W4.76tr. Against the W6.0–6.5tr full-year order range discussed in July, the remaining 4Q requirement is approximately W1.24–1.74tr. Management emphasized that customer demand remains strong, while FX translation constrained the increase in reported won-denominated backlog. Short-lead-time business also continues to expand.

2. Data center exposure and customer coverage continue to broaden

Data centers accounted for more than 50% of year-to-date orders. In July, management had expected approximately 45% of full-year 2026 orders to come from data centers; the latest comment is directionally stronger, although the measurement periods differ. A new US Big Tech customer began ordering in 3Q, existing customers continue to expand, and one customer has entered a long-term agreement covering medium-voltage products. Expansion into other equipment categories remains a potential next step rather than an already-announced commitment.

3. Power equipment margin recovery is taking longer outside the US

Power equipment revenue increased to W305.8bn, but operating profit declined sequentially to W43.7bn. Its operating margin was approximately 14.3%, versus 15.6% in 2Q. Management attributed the disappointment to higher silver costs and slower implementation of price increases in Europe and Southeast Asia, where competition is more intense than in the US. Although price increases began in April, realization in these markets lagged. Management expects further margin improvement from 4Q onward.

By contrast, Electric Infrastructure generated W891.8bn of revenue and W152.5bn of operating profit, implying a reported 17.1% margin, versus 12.8% in 2Q. Management cautioned that tariff refunds contributed materially to this segment's improvement. The 17.1% figure should therefore not be treated as a clean recurring margin.

4. Material one-offs largely offset at the consolidated level

The Chinese subsidiary reported an operating loss of W48.5bn. Management described an accelerated restructuring and accounting cleanup, including conservative bad debt provisioning, and said the China-related accounting work was complete. The reported loss is not equivalent to a separately disclosed restructuring charge, but management does not expect losses of this magnitude to recur.

US tariff refunds provided an offsetting benefit. Management estimated that roughly 80–90% of expected refunds had come through, with further recoveries dependent on supplementary documentation. Its message was that the two effects broadly offset each other, making the consolidated 12.4% margin representative of underlying profitability.

5. US subsidiaries are driving a broader earnings contribution

The workbook's "other entities" category generated W621.7bn of revenue and W64.7bn of operating profit for the quarter, with margin improving to 10.4% from 5.3% in 2Q. Management attributed approximately 90% of this category's sequential and year-on-year

growth to the US, primarily in core power equipment and infrastructure. This category is not the same as the earnings presentation's "subsidiaries and consolidation adjustments" total.

In its US power-equipment discussion, management cited approximately W350bn of 2026 revenue versus W120bn in 2025, or almost threefold growth, and a roughly 35% CAGR outlook through 2028. These figures appear to refer to the power-equipment opportunity rather than total US revenue across all of LSE's businesses.

6. Capacity expansion is moving from evaluation to a more concrete delivery schedule

Management expects switchgear capacity to increase more than 30% in 2027 through higher utilization at Cheongju and a broader supplier network. The previously discussed ambition to exceed three times current capacity by 2030 is now being accelerated to protect customer lead times.

At LS Power Solution, W160bn of investment through 2028 is intended to expand total annual revenue capacity from approximately W250bn to W600bn. Distribution transformer additions should begin contributing in 2H27 and UHV ,transformer additions in 2H28. The presentation separately shows UHV-only group capacity rising from approximately W800bn in 2026 to W1tr or more in 2028; this should not be added to LSPS's total capacity because the measures overlap.

Utah completion is targeted for August 2027, within the presentation's 2H27 window. Larger-scale expansion at the Bastrop campus in Texas remains in planning, while existing equipment lines are being ramped.

7. ESS and next-generation DC products provide additional growth opportunities

Battery control panel shipments continue, and power conditioning system shipments began in 3Q. However, Renewable remained loss-making: revenue was W94.7bn and operating loss W2.7bn, compared with a W0.8bn loss in 2Q. Stronger ESS activity should therefore not be equated with a completed profitability turnaround across Renewable.

For solid-state transformers, management said lower-capacity products have moved beyond research into practical demonstrations, including data center applications with LG Uplus. The focus is on scaling capability toward 2028. This indicates product progress, not confirmation of an NVIDIA-scale commercial order.

LS Electric 3Q26 Earnings Call – Q&A

Q1. Does the decline in quarterly order intake indicate weaker US data center demand?

Management said no. The 2Q comparison was unusually strong because a new customer's entry, previously expected in the second half, was brought forward to April. Customer additions are better assessed over six-month periods. Existing customers, including Bloom Energy, remain active, and new-customer discussions are progressing to plan despite market concerns. Management expects order intake in 2027 to be stronger than in 2026.

Q2. How significant are the new Big Tech customer wins, and what margins do they carry?

Initial orders typically start in the tens of billions of KRW, rather than immediately exceeding the disclosure threshold. Margins can initially be lower because securing references is a priority. Management expects these relationships to contribute more meaningfully to 2027 orders. A long-term agreement has been signed with one customer for medium-voltage products; further product expansion would be disclosed as it progresses.

Q3. Was 3Q helped by unusually early revenue recognition, potentially reducing the 4Q opportunity?

Management denied unusual order-to-revenue recognition in 3Q. It described the remaining 4Q backlog and delivery pipeline as stronger than 3Q, with additional orders continuing to accumulate. Scheduled business for next year is also larger than this year's. However, the unusually strong Infrastructure profit contribution partly reflected tariff refunds, rather than only a change in shipment timing or mix.

Q4. How should investors think about the timing of backlog conversion?

Management indicated that approximately 75% of backlog is scheduled for delivery through 2028, increasing to roughly 90% through 2029. Switchgear is more prominent in the 2027–28 delivery mix, while UHV transformers become more significant in 2028–29. Management also cited more than 70% already secured when discussing 2027–28 plans, without clearly defining that measure's denominator. It should not be presented as 70% coverage of consolidated revenue.

Q5. Why did UHV and medium-/low-voltage transformer backlog decline sequentially?

Management viewed this as a timing difference between new orders and revenue recognition, not a deterioration in demand. Large customer orders can be concentrated around year-end. The size of the next order has not been determined, so those historical amounts should not be carried forward as an assumed 2026 award.

Q6. Can LSE maintain its relatively short delivery lead times?

Management continues to target roughly 10–12 months for products requested by major hyperscale customers. This is a competitive commitment, not a blanket lead time for every product or customer; ordinary customers often seek shorter delivery periods. Higher factory utilization and expanded supplier capacity are intended to preserve this advantage as demand rises.

Q7. Has the UHV transformer market changed in terms of demand, pricing, or long-term commitments?

Management's tone was unchanged from earlier in the year. It continues to see strong demand, with orders being secured ahead of factory investment. Discussions include long-term volume commitments extending to 2030. Management sees LSE's portfolio spanning transmission through distribution as an advantage in these negotiations. It did not confirm whether the solutions under discussion are predominantly behind-the-meter projects, and discussions should not be treated as signed backlog.

Q8. How large were the Chinese charges and tariff refunds? Is the restructuring in China finished?

In response to a question referencing W40–50bn of losses in China and a similar refund benefit, management said the amount being discussed was somewhat below that range, without giving a precise reconciliation. It emphasized conservative provisioning and the completion of the accounting cleanup in China. The key conclusion is that the reported loss in China should not be extrapolated, but an adjusted profit calculation must also remove the offsetting tariff benefit rather than add back China costs alone.

Q9. How much additional US tariff refund income remains?

Management said approximately 80–90% of the expected total had come through. Some claims were below the amounts originally expected and require additional paperwork. Further recoveries remain possible, but neither an exact remaining amount nor a firm recognition timetable was provided.

Q10. Will the railway business exit eliminate losses immediately?

Some transition work remains, including personnel transfers. Management indicated that several billion won of additional costs could arise, but does not consider them material to the group. The longer-term benefit is the removal of a business generating approximately W5bn of annual losses, rather than an immediate assumption of zero transition expense in 4Q.

Q11. Why did Europe and Southeast Asia lag despite price increases?

Competition in these markets is stronger than in the US, delaying implementation of the selling-price increases needed to offset higher silver costs. Management expects profitability to improve as pricing catches up, including from 4Q onward. FX also affected quarterly earnings, and hedging is being used to reduce, rather than eliminate, that exposure.

Q12. What drove the improvement in other entities? Was it mainly ESS?

Management attributed approximately 90% of both sequential and YoY growth in the relevant subsidiary grouping to the US. The improvement was primarily in core electrical equipment and power infrastructure, not solely ESS. Battery control panel shipments continue, and PCS shipments began in 3Q, broadening the scope of ESS-related products supplied.

Q13. What has changed in switchgear capacity planning since September?

The required pace is faster than outlined at the September investor day. Management now expects more than 30% capacity growth in 2027, supported by higher utilization at Cheongju and additional suppliers. It believes the earlier expansion schedule would risk falling behind customer lead-time requirements. The direction is therefore toward earlier capacity availability, not merely a higher long-term ambition.

Q14. What is the latest on Utah and the Texas campus?

Utah is targeted for completion in August 2027 and will serve Big Tech customers. The current construction uses approximately two-thirds of the site, leaving one-third available; accelerating development of the remaining land is under discussion. Bastrop's larger expansion does not yet have a firm completion schedule, although existing equipment lines are being scaled up. Both locations remain focused on switchgear, with possible switchgear/equipment mixes of 70:30 or 60:40 under consideration.

Q15. What will LSPS expansion contribute, and when?

Management said LSPS had already exceeded its full-year 2025 earnings performance. It plans W160bn of investment through 2028, expanding annual revenue capacity from approximately W250bn to W600bn. Distribution-transformer capacity should begin contributing in 2H27, followed by UHV capacity in 2H28. These are phased capacity additions, not a forecast that the full W600bn will be realized as revenue in 2028.

Q16. How advanced is SST commercialization?

Management said lower-capacity SST products moved beyond the research stage one to two years ago and are now being demonstrated in actual applications, including with LG Uplus. Current capacity is below the level discussed for NVIDIA-related architectures, with scaling targeted toward 2028. No specific North American hyperscaler award or NVIDIA qualification for SST was confirmed.

Q17. When will 2027 guidance be announced, and will the reporting basis change?

Management plans to provide 2027 guidance with the 4Q26 results. It currently provides order and financial guidance on a standalone basis and is considering consolidated guidance in future. For 2026, management expects performance near the upper end of the existing range, with a possibility of exceeding it. The distinction between standalone guidance and consolidated results remains important when evaluating that statement.

Estimate Revisions

What's changed: Reflecting the 17% OP beat in 3Q26 and our conservative view on 4Q26 given potential one-off expenses including employee bonus and slower-than-expected cost pass-through, we trim our 2026 EPS estimate 3%, but keep 2027e EPS virtually unchanged; 2028e EPS rises 4%.

For 2027–28, the strongest support is contracted deliveries plus executable capacity: Switchgear and transformer backlogs, customer expansion, and the phased LSPS ramp support sustained growth. Initial customer pricing, plant start-up costs and the timing of deliveries will determine how much of that growth reaches earnings. Long-term discussions through 2030 and higher-capacity SST applications represent further opportunities, but should not be given the same certainty as existing orders.

The principal risks are execution, customer concentration, and margin realization: Accelerated expansion can create commissioning and working capital demands; greater US data center exposure makes customer project schedules more important; and silver costs, FX and regional price competition can delay margin recovery. The next key checkpoints are 4Q backlog conversion, the 2027 guidance disclosure, and evidence that additional capacity can sustain customer lead times without sacrificing profitability.

Exhibit 1: LSE: 3Q26 earnings results

(W bn)	3Q26	MSe	% Diff	Cons	% Diff	QoQ	YoY	2Q26	3Q25
Net Sales	**1,878**	**1,511**	**24%**	**1,714**	**10%**	**19%**	**54%**	**1,577**	**1,216**
Operating Profit	**234**	**178**	**31%**	**200**	**17%**	**31%**	**132%**	**179**	**101**
- OPM	*12.5%*	*11.8%*	*1pp*	*11.7%*	*1pp*	*1pp*	*4pp*	*11%*	*8%*
Recurring Profit	194	164	NA			NA	112%	177	92
Net Profit	**143**	**120**	**NA**	**151**	**NA**	**NA**	**117%**	**138**	**66**
- NPM	*7.6%*	*7.9%*	*0pp*	*8.8%*	*-1pp*	*-1pp*	*3pp*	*9%*	*5%*

Source: Company data, Morgan Stanley Research, Consensus estimates from Bloomberg

Exhibit 2: LSE: our estimates vs. consensus

(W bn)	2026e	2027e	2028e
Morgan Stanley estimates			
Sales	6,740	8,085	9,771
Operating Profit	744	987	1,340
OPM (%)	11.0%	12.2%	13.7%
Profit before Tax	709	980	1,337
Net Profit	525	726	1,016
EPS (W)	3,570	4,909	6,848
Consensus estimates			
Sales	6,536	8,038	9,541
Operating Profit	721	1,041	1,384
OPM (%)	11.0%	13.0%	14.5%
Profit before Tax	713	1,028	1,365
Net Profit	534	777	1,034
EPS (W)	3,558	5,178	6,896
% change			
Sales	3%	1%	2%
Operating Profit	3%	-5%	-3%
OPM (%)	0.0%ppt	-0.7%ppt	-0.8%ppt
Profit before Tax	-1%	NA	NA
Net Profit	-2%	-7%	-2%
EPS (W)	0%	-5%	-1%

Source: Company data, Morgan Stanley Research, Consensus from Quantiwise

Exhibit 3: LSE: our estimates (new vs. old)

(W bn)	2026e	2027e	2028e
Morgan Stanley estimates			
Sales	6,740	8,085	9,771
Operating Profit	744	987	1,340
OPM (%)	11.0%	12.2%	13.7%
Profit before Tax	709	980	1,337
Net Profit	525	726	1,016
EPS (W)	3,570	4,909	6,848
Morgan Stanley estimates (Old)			
Sales	6,203	7,586	8,747
Operating Profit	683	998	1,289
OPM (%)	11.0%	13.2%	14.7%
Profit before Tax	704	987	1,285
Net Profit	548	730	977
EPS (W)	3,696	4,908	6,553
% change			
Sales	9%	7%	12%
Operating Profit	9%	-1%	4%
OPM (%)	0.0%ppt	-0.9%ppt	-1.0%ppt
Profit before Tax	1%	-1%	4%
Net Profit	-4%	-1%	4%
EPS (W)	-3%	0%	4%

Source: Company data, Morgan Stanley Research

Valuation Methodology

We keep our price target at W270,000, implying 55x our 2027 EPS estimate. Looking at the key assumptions in our RI model, we have raised long-term (2024-32e) revenue CAGR to 24.1% (from 22.5%), with average operating profit margin for the same period at 14.7% (from 15.7% previously), resulting in earnings growth expectations of 45.6% (vs. 45.4% previously). Other than that, our assumptions for cost of equity (including beta, equity risk premium, and risk-free rate) and terminal growth rate remain the same.

Exhibit 4: LSE: Residual income model

Residual Income Analysis

(W bn)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Total Equity (EOY)	1,473	1,549	1,724	1,890	2,141	2,183	2,601	3,160	4,075	5,244	6,904	9,371
Total Equity (BOY)	1,413	1,473	1,549	1,724	1,890	2,141	2,183	2,601	3,160	4,075	5,244	6,904
Adjusted Net Profit	84	91	206	239	287	535	736	1,027	1,533	2,088	2,867	3,975
Return on Equity	6.0%	6.2%	13.3%	13.8%	15.2%	25.0%	33.7%	39.5%	48.5%	51.2%	54.7%	57.6%
Equity Charges	113	118	124	138	151	171	175	208	253	326	420	552
Residual Income	(29)	(27)	82	101	135	364	562	819	1,280	1,762	2,448	3,422
Spread (%)	-2.0%	-1.8%	5.3%	5.8%	7.2%	17.0%	25.7%	31.5%	40.5%	43.2%	46.7%	49.6%

Beta	1.00	Obvserved 5Y beta (~0.9-1.1)
Equity Risk Premium (%)	4.5%	Historical equity risk premium in Korea (6.0-7.5%)
Risk Free Rate (%)	3.5%	Korea 10-yr bond yield (3.0-3.8%)
Cost of Equity (%)	8.0%	
Terminal Growth Rate (%, nominal)	3.0%	
Terminal Value Multiple	21	= (1+Terminal Growth)/(COE-Terminal Growth)
Beginning Equity Capital	1,724	
PV of Forecast Period	5,944	
PV of Continuing Value	32,656	
Equity Value	40,324	
Number of Shares (mn)	150	
Projected Price (W, EOY)	268,830	
Implied P/BV	23.4	
Implied P/E	140.7	
Estimated Value Per Share (KRW)	**270,000**	(after round-up)

Source: Company data, Morgan Stanley Research estimates

Relative Valuation

LS Electric remains our preferred Korean power transformer play. The stock trades at a premium: ~30x 2027e P/E vs. ~15x for HD Hyundai Electric and 16x for Hyosung Heavy (Not Covered, based on consensus). Even so, we believe the premium is warranted by its differentiated exposure to AI-driven power infrastructure, superior earnings visibility, and accelerating order momentum. Our price target implies a 2027e P/E of ~55x.

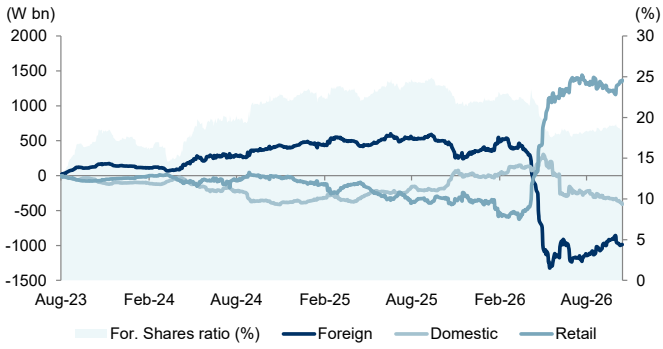
The higher multiple may lead to greater near-term share price volatility – something that has been quite pronounced in recent months, as has been true of the Korean market more broadly. However, we would view valuation-driven weakness as an opportunity to build positions rather than a reason to turn cautious.

Exhibit 5: LSE: NTM P/E valuation



Source: Wisefn, Company data, Morgan Stanley Research

Exhibit 6: LSE: Net buying activities by foreign, domestic, and retail investors



Source: Wisefn, Company data, Morgan Stanley Research

Risk Reward – LS Electric (010120.KS)

Beneficiary of AI data centers and demand for distribution power transformers

PRICE TARGET W270,000

Base case, derived from a residual income model (RIM) because it reflects LSE's medium- to long-term capacity growth targets, capturing secular growth in power grid investments and the tight power transformer supply/demand outlook with limited near-term capacity additions.
Key RIM assumptions:

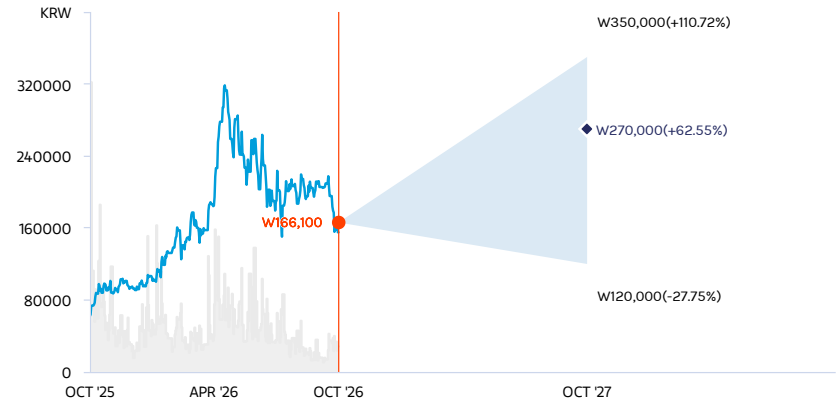
- Cost of equity of 8.0%: risk-free rate of 3.5% (Korean 10-year Treasury yield), equity risk premium of 4.5%, beta of 1.0
- Terminal growth rate of 3%

Consensus Price Target Distribution W156,000.00 — W271,653 (MS PT) — W330,000.00

Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- US data center demand is transitioning from optionality to repeatable growth.
- Korea's Energy Highway and HVDC investments add another growth driver, a more traditional but visible leg to the medium-term earnings base.
- Recent data center wins reinforce that LSE is moving from reference acquisition to customer expansion, with early-stage margins managed deliberately to secure vendor slots and pricing normalization expected.
- While the stock trades at a premium, we believe the premium is warranted by its differentiated exposure to AI-driven power infrastructure, superior earnings visibility, and accelerating order momentum.. Our price target of W270,000 implies a 2027e P/E of ~55x.

Consensus Rating Distribution

85%	Overweight
15%	Equal-weight
0%	Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Negative*
Renewable Energy:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE W350,000

Accelerating share gains in North America

In this scenario, we assume a higher sales CAGR of 23.8% and average operating margin of 21.2% over 2024-32, reflecting structural tailwinds and a favorable ASP outlook. Based on our bull case assumptions, the stock may trade up to 71x P/E on our 2027e EPS.

BASE CASE W270,000

A diversified power infrastructure house

In this scenario, we expect a 22.5% revenue CAGR in 2024-32, payout ratio of 41.5% for the same period and 15.7% long-term average operating margin. Our base case value of W270,000 implies 55x our 2027 EPS estimate.

BEAR CASE W120,000

Taking more time to show progress

In this scenario, compared to our base case, we estimate much lower sales CAGR and operating margin of 19.9% and 8.7%, respectively, reflecting a short-lived up-cycle and fierce competition with global peers. We estimate that P/E may fall back to 24x.

Risk Reward – LS Electric (010120.KS)

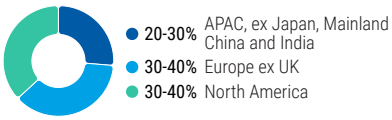
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
LSE Electrical equipment revenue growth (YoY/QoQ%) (%)	(0.0)	23.3	23.2	15.8
LSE Electrical infra revenue growth (YoY/QoQ%) (%)	30.0	64.4	25.5	26.1
LSE Automation revenue growth (YoY/QoQ%)h (%)	(2.9)	5.2	1.5	1.8
Operating profit margin (%)	8.6	11.0	12.2	13.7

INVESTMENT DRIVERS

- Surging demand for high-voltage equipment
- Renewable energy and power infrastructure growth
- AI-driven power consumption
- Overseas expansion and diversification

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Transformer business ramp-up
- Domestic up-cycle and KEPCO order trend
- Margin improvements
- Investor recognition of ESG angle on the stock

RISKS TO DOWNSIDE

- Expansion execution risk
- Market perception that LSE is relatively new to high-voltage transformers
- Revisions to KEPCO's investment plan
- Competitive pressures

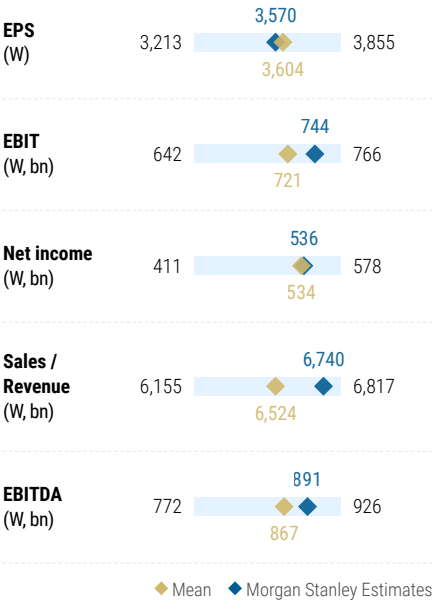
OWNERSHIP POSITIONING

Inst. Owners, % Active 56.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 7: LS Electric

Income Statement

Year ending December 31 KRW bn	2024	2025	2026E	2027E	2028E
Sales	**4,552**	**4,966**	**6,740**	**8,085**	**9,771**
COGS	3,644	3,914	5,321	6,381	7,715
Gross Profit	908	1,051	1,419	1,704	2,057
Operating Expense	518	625	675	717	716
Operating Profit	**390**	**426**	**744**	**987**	**1,340**
Net Non-operating Income	(56)	(16)	(35)	(7)	(3)
- Net operating gains/losses	(56)	(15)	(34)	(5)	(2)
Income Before Tax	333	411	709	980	1,337
Net Income	242	284	525	726	1,016
Margins					
Gross Margin	19.9%	21.2%	21.1%	21.1%	21.0%
Operating Margin	8.6%	8.6%	11.0%	12.2%	13.7%
Net Income	5.3%	5.7%	7.8%	9.0%	10.4%
Growth Rates					
Sales	7.6%	9.1%	35.7%	20.0%	20.9%
EBITDA	11.9%	12.3%	17.9%	17.0%	18.6%
Operating Income	20.0%	9.4%	74.5%	32.7%	35.8%
Net Income	16.5%	17.4%	84.7%	38.2%	40.1%

Cash Flow Statement

Year ending December 31 KRW bn	2024	2025	2026E	2027E	2028E
Net Profit	242	284	525	726	1,016
Depreciation & Amortization	102	117	133	142	147
Other Non-Cash Items	206	32	479	15	16
Change in Net Working Capital	(225)	(175)	(692)	(368)	(455)
Operating Cash flow	325	257	445	514	724
Capital Expenditure	(289)	(401)	(302)	(200)	(200)
R&D	(86)	(93)	(111)	(132)	(159)
Change in Other Assets	119	244	235	121	148
Investing Cash flow	(256)	(250)	(178)	(211)	(212)
Changes in Short Term Debts	27	(75)	258	8	8
Changes in Long Term Debts	74	222	(311)	-	-
Dividends	(83)	(87)	(400)	(308)	(458)
Others	84	(7)	32	20	20
Financing Cash flow	102	52	(421)	(280)	(430)
Net change in cash	**171**	**60**	**(153)**	**24**	**83**
Beginning cash	584	660	763	179	203
Ending cash	660	763	179	203	285

Balance Sheet

Year ending December 31 KRW bn	2024	2025	2026E	2027E	2028E
Cash & Cash Equivalents	660	763	179	203	285
Receivables	1,070	1,036	1,774	2,192	2,709
Inventory	510	553	896	1,104	1,366
Other current Assets	812	1,005	1,481	1,481	1,481
Current Assets	3,052	3,357	4,330	4,980	5,841
Investment Assets	157	228	179	179	179
Property and Equipment	861	979	1,073	1,116	1,153
Fixed Assets	1,433	1,600	1,691	1,745	1,794
Total Assets	**4,485**	**4,957**	**6,021**	**6,725**	**7,635**
Account Payables	638	707	1,108	1,366	1,690
Short Term Debts	381	302	576	584	592
Current Portion of LT Debts	249	295	33	33	33
Total Current Liabilities	1,846	1,865	2,923	3,189	3,521
Long Term Debts	80	115	148	168	188
Bonds	489	658	599	599	599
Total Long Term Liabilities	749	951	914	934	954
Total Liabilities	2,595	2,815	3,837	4,123	4,475
Paid-in Capital	150	150	150	150	150
Retained Earnings	1,743	1,939	2,072	2,490	3,049
Total Stockholders' Equities	1,890	2,141	2,183	2,601	3,160
Total Liabilities & SE	**4,485**	**4,957**	**6,021**	**6,725**	**7,635**
Net Debt	540	607	1,177	1,181	1,126

Ratio Analysis

Year ending December 31 KRW bn	2024	2025	2026E	2027E	2028E
ROE	13.4%	14.1%	24.3%	30.3%	35.3%
ROA	5.9%	6.0%	9.6%	11.4%	14.2%
ROIC	6.3%	6.3%	9.5%	10.7%	12.9%
Day's Receivables	21.5	19.0	24.0	24.7	25.3
Day's Inventory	12.8	12.9	15.4	15.8	16.2
Day's Payables	16.0	16.5	19.0	19.5	20.0
Current Ratio	1.7	1.8	1.5	1.6	1.7
Debt to Equity (%)	137%	131%	176%	159%	142%
Net Debt to Equity (%)	29%	28%	54%	45%	36%
EPS (For Consensus)	1,591	1,831	3,570	4,909	6,848
BVPS (MW)	12,258	13,798	14,093	16,880	20,605
DPS	1,050	2,050	2,050	2,050	3,050
P/E	101.0	88.8	45.6	33.1	23.7
P/BV	13.1	11.8	11.5	9.6	7.9
EV/EBITDA	49.0	44.7	28.7	22.4	17.0
EV/Sales	5.4	5.0	3.8	3.2	2.6
Dividend Yield (%)	0.7%	1.3%	1.3%	1.3%	1.9%
FCF per share (W)	197	(1,017)	889	2,029	3,426
NAV per share (W)	11,347	13,111	13,379	16,093	19,741
Share Price (KRW)	160,800	162,600	162,600	162,600	162,600
Shares Outstanding ('000)	150,000	150,000	150,000	150,000	150,000

Source: Company data, Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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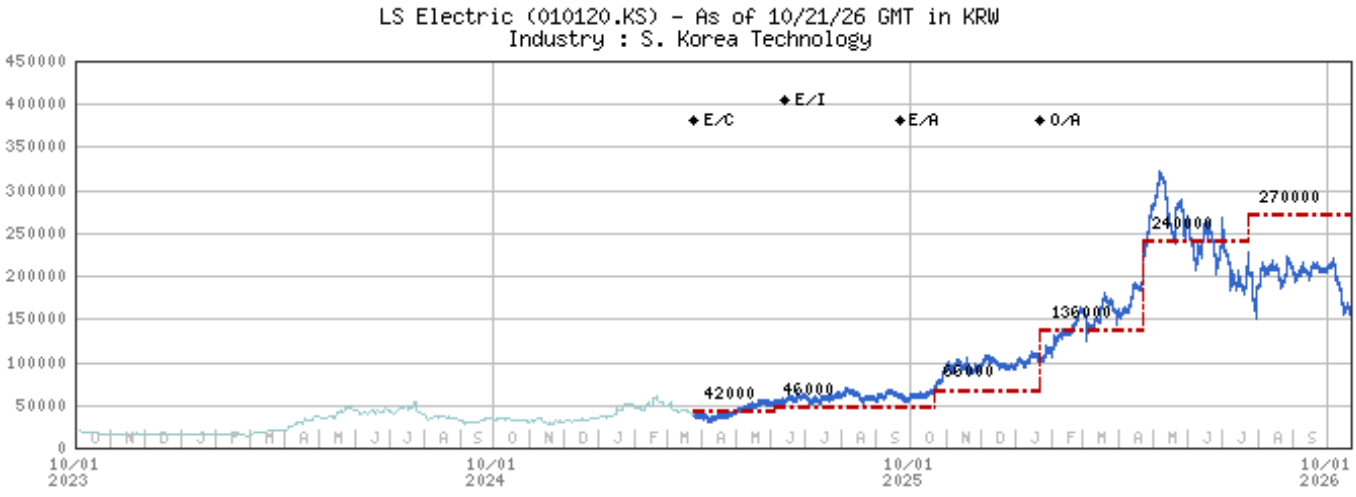
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Price Target History: 3/25/25 : 42000; 6/3/25 : 46000; 10/21/25 : 66000; 1/22/26 : 136000; 4/22/26 : 240000; 7/24/26 : 270000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/21/2026)
Ryan Kim		
Fadu Inc (440110.KQ)	O (09/21/2025)	W51,900
Hanmi Semiconductor Co. Ltd. (042700.KS)	U (10/12/2026)	W203,000
HD Hyundai Electric Co Ltd (267260.KS)	O (03/25/2025)	W499,000
Isu Petasys Co. Ltd. (007660.KS)	O (02/03/2025)	W95,900
Leeno Industrial Inc. (058470.KQ)	O (04/03/2025)	W67,400
LG Display (034220.KS)	E (06/11/2025)	W7,350
LG Electronics (066570.KS)	O (08/11/2026)	W165,100
LG Innotek (011070.KS)	O (08/11/2026)	W406,500
Lotte Energy Materials Corp (020150.KS)	U (04/03/2025)	W55,000
LS Electric (010120.KS)	O (01/22/2026)	W166,100
SK Square Co Ltd. (402340.KS)	O (05/06/2026)	W779,000
Wonik IPS Co Ltd (240810.KQ)	O (08/08/2025)	W104,800
Shawn Kim		
Samsung Electro-Mechanics (009150.KS)	O (07/31/2025)	W1,168,000
Samsung Electronics (005935.KS)	O (11/18/2019)	W172,200
Samsung Electronics (005930.KS)	O (11/18/2019)	W223,500
SK hynix (000660.KS)	O (09/21/2025)	W1,294,000

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* Historical prices are not split adjusted.

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